

to teach you the difference between price and value, highlight common budgeting mistakes, and offer sample budgets that you can use to achieve your financial goals.

Price Versus Value

Many websites will tell you to save extra money by only eating instant noodles, clipping coupons for six hours per week, or quitting Starbucks forever. There are, however, much more important and less drastic things you can do to save money.

Every successful budget is built upon the same foundational truth: you cannot get everything you want. Because you do not have an infinite amount of money, you need to understand that each financial decision you make is a tradeoff: if you decide to overspend in one category of your budget, you are going to need to underspend in another. Unfortunately, too many people do not understand this concept and are constantly broke because of their unchecked spending.

When you have your own budget, you need to consider the **price** of every purchase and, more importantly, you need to consider the **value**. The price is easy to see; it is the dollar amount of something you are buying. Value, on the other hand, is a bit more than that. Value considers how much benefit the purchase is going to give you, but also considers what else the money you are spending could be used for.

Making decisions based on value can be both frustrating and rewarding. For example, a value-based decision may stop you from purchasing a \$100 pair of shoes because (1) you already have plenty of shoes, and (2) putting the money toward your debt instead would provide more of a benefit. But for another person